

The New Income Tax Act Survival Guide

Salaried Edition · Tax Year 2026-27

India's tax law changed completely on 1 April 2026.
Every section number you knew is wrong. Your tax bill is not.

This is your map through the change.

- The verified old-section to new-section map for salaried taxpayers
- Old vs new regime math with worked examples in rupees
- Form 16 to Form 130, 15G/15H to Form 121 — every form that changed
- A dated action plan from now until your July 2027 return

Verified against the Income-tax Act, 2025 (as amended), the Income-tax Rules, 2026
and official Income Tax Department FAQs

RESEARCH CUT-OFF: 29 SEPTEMBER 2026

WELCOME

Two Tax Laws Are Running In Parallel Right Now

On 1 April 2026, the Income-tax Act, 1961 — the law your parents, your first employer and every CA you have ever met grew up on — was repealed after 65 years. Its replacement, the Income-tax Act, 2025, now governs every rupee you earn from April 2026 onwards. Your tax bill did not change. Almost every number you quote to your employer, your bank and the income tax portal did.

If you are salaried, this guide is written for you. It answers, in plain English, the four questions every salaried Indian is asking this year:

- **Which law applies to me right now? (Answer:** both, for different things — Part 1 gives you the exact cut-off.)
- What are the new section numbers for the 80C, 80D, HRA and home loan rules I already use? (Part 5 — the verified map.)
- Old regime or new regime for Tax Year 2026-27? (Part 3 — with worked examples in rupees.)
- What do I actually need to do, and when? (Part 9 — a dated checklist from this month to July 2027.)

A note on accuracy

Every section number, slab, form number and date in this guide was verified in September 2026 against the consolidated text of the Income-tax Act, 2025 (as amended by the Finance Act, 2026), the Income-tax Rules, 2026 (notified 20 March 2026) and the official FAQs published by the Income Tax Department. Where popular articles online disagree with the Act, this guide follows the Act. Tax slabs and limits are for Tax Year 2026-27 (April 2026 to March 2027).

What this guide is not: it is not tax advice for complex situations, and it does not replace a chartered accountant for capital gains, foreign income or notices. It is a plain-English map for a salaried person navigating the biggest change in Indian tax law since 1961.

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PART 1

The New Act in One Page

India did not raise your tax. It renamed the rulebook. Here is the honest summary of the 2025 Act — what actually changed, and what did not.

The headline numbers, verified from the Income Tax Department:

Measure	Old Act (1961)	New Act (2025)	What it means for you
Sections	819	536	Fewer, shorter provisions
Schedules	14	16	Old Section 10 exemptions moved here
Income-tax Rules	511 rules, 399 forms	333 rules, 190 forms	Fewer forms to deal with
Provisos and explanations	Hundreds	Absorbed into main text	Plainer language
In force from	1 April 1962	1 April 2026	Income earned from 1 April 2026

Six things that did NOT change (this is most of your life):

- Tax rates and slabs. The new regime slabs — 0–4 lakh nil up to 30% above 24 lakh — are identical to FY 2025-26.
- The ₹12 lakh zero-tax effect. The rebate survives as Section 156 with the same ₹60,000 cap (Part 3).
- Every deduction limit. ₹1.5 lakh under (new) Section 123, ₹25,000/₹50,000 under Section 126 — same amounts, new addresses.
- The standard deduction. ₹75,000 in the new regime, ₹50,000 in the old regime.
- Your PAN, TAN, TDS credit and past filings. All continue; Section 536 of the new Act expressly carries everything forward.
- Filing habits. Salary ITR is still due 31 July, and the 4% health and education cess still applies.

Six things that DID change:

- Every section number you knew. 80C is now 123. 80D is now 126. 87A is now 156. 115BAC is now 202. (Full map in Part 5.)
- “Assessment Year” is dead. There is only “Tax Year” now (Part 2).
- Form numbers changed. Form 16 becomes Form 130, 15G/15H become a single Form 121 (Part 6).
- **TDS was rebuilt. Sixty-plus TDS sections collapsed into three:** 392 (salary), 393 (everything else), 394 (TCS), with four-digit payment codes.
- Exemptions moved to schedules. HRA, LTA, gratuity and 40-plus exemptions left Section 10 and now live in Schedules II–VII read with Section 11.
- Penalties became flat fees. The late-filing fee is now Section 428 — still ₹5,000, but with no discretion.

Why the government did this. The 1961 Act had been amended so many times that even professionals struggled to read it. The 2025 Act restates the same policy in cleaner language, merges related provisions, and swaps legal narrative for tables and formulas. The Finance Minister’s stated aim: a tax law a normal taxpayer can actually read. Your compliance burden — not your tax — was the target.

PART 2

Tax Year — the New Calendar

The old system made you juggle two labels: “Previous Year” (when you earned) and “Assessment Year” (when you filed). The new Act kills both. There is one label now: Tax Year.

What a Tax Year is: the twelve months from 1 April to 31 March in which you earn the income. Income earned 1 April 2026 – 31 March 2027 is “Tax Year 2026-27”, and you file its return after it ends, by 31 July 2027. One name, one period — no more translating AY to FY.

The translation table (print this):

Income earned in	Filed in	Called	Governed by
Apr 2024 – Mar 2025	By Sep 2025	AY 2025-26	Income-tax Act, 1961
Apr 2025 – Mar 2026	By 31 Jul 2026	AY 2026-27	Income-tax Act, 1961 (old numbers apply)
Apr 2026 – Mar 2027	By 31 Jul 2027	Tax Year 2026-27	Income-tax Act, 2025 (new numbers)
Apr 2027 – Mar 2028	By 31 Jul 2028	Tax Year 2027-28	Income-tax Act, 2025

The single most important table in this guide — which law applies right now:

What you are doing in Oct 2026	Which law governs
Earning your monthly salary	New Act — TDS is deducted under Section 392
Paying advance tax for TY 2026-27	New Act — the September instalment follows new-Act rules (from June 2026 onwards advance tax runs on the new Act)
Any correspondence on your July 2026 return (AY 2026-27)	Old Act — returns, refunds and processing for that year stay on 1961-Act forms and sections
An old notice, scrutiny or appeal from an earlier year	Old Act — Section 536(2)(c) keeps pending proceedings under the 1961 Act
Filing your next return (July 2027, for TY 2026-27)	New Act — new section numbers and new forms apply end-to-end

Source: Income Tax Department FAQ on the new Act — the e-filing portal runs both laws concurrently during transition.

The trap to avoid

Do not confuse the year you file in with the year you earned in. Filing a return in July 2026 does not mean the new Act applies — that return is for income earned before April 2026, so old section numbers (80C, 80D, 87A) are still correct on it. The first return that uses the new numbers is the one you file in July 2027. If a form or portal screen in 2026 still shows old section numbers, that is right, not broken.

Key dates that survive the transition unchanged:

Date	What happens
15 Jun / 15 Sep / 15 Dec / 15 Mar	Advance tax instalments for TY 2026-27 (cumulative 15%, 45%, 75%, 100%)
31 March 2027	Last date for TY 2026-27 investments and deductions
By 15 June 2027	Your employer issues Form 130 — the new Form 16 — for TY 2026-27
31 July 2027	Due date for your salary ITR for TY 2026-27 (the first new-Act return)

Miss the 31 July 2027 due date and Section 428 charges ₹5,000 (₹1,000 if total income is up to ₹5 lakh).

PART 3

Your Money Under the New Act

Slabs, rebate, and the regime decision for Tax Year 2026-27 — every number verified, every example computed. Bring your CTC; this part does the arithmetic.

New regime slabs — Tax Year 2026-27 (Section 202 of the new Act). The new regime remains the DEFAULT. The same slabs apply to every age group; there is no higher exemption for senior citizens here.

Total income	Rate
Up to ₹4,00,000	Nil
₹4,00,001 – ₹8,00,000	5%
₹8,00,001 – ₹12,00,000	10%
₹12,00,001 – ₹16,00,000	15%
₹16,00,001 – ₹20,00,000	20%
₹20,00,001 – ₹24,00,000	25%
Above ₹24,00,000	30%

Plus 4% health and education cess on the tax, plus surcharge at higher incomes (10% above ₹50 lakh, 15% above ₹1 crore, 25% above ₹2 crore — capped at 25% under the new regime; the 37% top tier survives only in the old regime). Old-regime slabs: nil to ₹2.5 lakh; 5% to ₹5 lakh; 20% to ₹10 lakh; 30% above — with a ₹3 lakh nil slab for resident senior citizens (60+) and ₹5 lakh for super seniors (80+).

The zero-tax arithmetic, worked (this is why ₹12.75 lakh is the magic number):

Step	Amount
Gross salary	₹12,75,000
Standard deduction (Section 19, new regime)	– ₹75,000
Taxable income	₹12,00,000
Slab tax: 5% of ₹4–8 lakh + 10% of ₹8–12 lakh (₹20,000 + ₹40,000)	₹60,000
Rebate under Section 156 (income up to ₹12 lakh)	– ₹60,000
Tax payable (+ zero cess)	₹0

The old-regime rebate is far smaller: ₹12,500 maximum, only if total income is up to ₹5 lakh (also Section 156).

Marginal relief just above ₹12 lakh: take a taxable income of ₹12,10,000. The slab tax is ₹61,000, but Section 156 gives you a rebate of ₹51,000, so you pay only ₹10,000 plus cess — exactly the amount by which you crossed ₹12 lakh. You never lose more than you gain by crossing the line.

What the new regime still allows (verified from Section 202(2) of the Act):

- Standard deduction of ₹75,000 from salary (Section 19).
- Employer's NPS contribution, up to 14% of salary (Section 124) — the single best surviving tax break for high earners.
- Agnipath (Agniveer) corpus contributions (Section 125).
- Interest on a home loan for a LET-OUT property (Section 22) — the ₹2 lakh self-occupied benefit exists only in the old regime.

What the new regime disallows: HRA, LTA, Section 123 (old 80C), Section 126 (old 80D), home-loan interest on a self-occupied house, and set-off of house-property loss against salary. The full list of old-regime deductions is in Part 5.

Old or new regime? Worked examples for Tax Year 2026-27 (all computed at FY 2026-27 rules — health & education cess included):

Profile	Gross salary	Old regime tax	New regime tax	Winner
₹1.5L in 80C + ₹25k in 80D, no HRA/home loan	₹9,00,000	₹49,400	₹0 (taxable ₹8.25L, inside the ₹12L rebate)	New
Heavy deductions: ₹1.5L 80C, ₹25k 80D, ₹1.8L HRA, ₹2L home-loan interest	₹14,00,000	₹74,360	₹81,900	Old
Same heavy-deduction profile	₹15,00,000	₹95,160	₹97,500	Old (barely)
Minimal deductions: ₹50k in 80C only	₹15,00,000	₹2,41,800	₹97,500	New
Minimal deductions: ₹50k in 80C only	₹20,00,000	₹3,97,800	₹1,92,400	New

Assumptions: salary is the only income (no special-rate income), resident individual under 60, no surcharge. Your numbers will differ — recompute with your actual deduction headroom before deciding.

The 30-second decision rule. Gross salary up to ₹12.75 lakh? The new regime makes your tax zero — done. Above that, add up your realistic old-regime deductions: 80C (₹1.5L) + 80D (₹25k) + HRA + home-loan interest (₹2L) + anything else you actually claim. Under about ₹4 lakh of total deductions, the new regime wins at every income level. Above about ₹5.5 lakh of deductions (big-city HRA plus a home loan gets you there), the old regime starts winning in the ₹14–20 lakh band. In between, income decides — spend fifteen minutes on the Part 4 worksheet instead of guessing.

How you choose (the mechanics changed wording, not substance):

- **Salaried with no business or professional income:** pick your regime in the ITR itself, every year — Section 202(4)(b). No separate form needed. But you must file by the 31 July due date, or the choice is gone for that year.
- You also have business/professional income (freelancing, practice, side business): opting out of the new regime is a one-time-per-lifetime affair in each direction — once you opt out, you can switch back only once, ever, under Section 202(4)(a). File the prescribed form with your CA before the due date.
- Your employer will deduct TDS under the NEW regime by default for TY 2026-27. If you want the old regime, tell HR in writing at the start of the year; the final true-up still happens in your ITR.

Step 1 — Your income and deductions for the year (April 2026 - March 2027). Pull the figures from your CTC letter, rent receipts, home-loan statement and investment plan. Write the rupee amount in BOTH columns where allowed; write 0 where a column does not permit it.

#	Line item (new section in bold)	Old regime	New regime
1	Gross salary + any pension (annual)	same	same
2	Standard deduction — Section 19 (₹50,000 / ₹75,000)	–50,000	–75,000
3	HRA exemption (metro 50% / non-metro 40% of basic, minus 10% of salary, minus rent paid)	your figure	NOT allowed
4	Section 123 (old 80C) — PPF, ELSS, LIC, EPF, tuition, principal	up to 1,50,000	NOT allowed
5	Section 124 self NPS (old 80CCD(1B))	up to 50,000	NOT allowed
6	Section 124 employer NPS — 14% of salary	allowed	allowed
7	Section 126 (old 80D) — health insurance	up to 25,000–50,000	NOT allowed
8	Section 22 (old 24(b)) — home-loan interest, self-occupied	up to 2,00,000	NOT allowed
9	Section 129 (80E) / 133 (80G) / 134 (80GG) / 153 (80TTA/TTB)	if eligible	NOT allowed
10	Taxable income = line 1 minus everything above	A = _____	B = _____

Step 2 — Compute the slab tax on each taxable income using the Part 3 tables (new regime: 0–4L nil, 5% to 8L, 10% to 12L, 15% to 16L, 20% to 20L, 25% to 24L, 30% above; old regime: 0–2.5L nil, 5% to 5L, 20% to 10L, 30% above). Add 4% cess to each result.

- **New regime check first:** is B (your new-regime taxable income) ₹12,00,000 or less? If yes — tax is zero, you are done, stop here. The new regime wins unless column A also computes to zero (then it is a tie).
- **Old regime rebate:** if A is ₹5,00,000 or less, subtract up to ₹12,500 from the old-regime tax.
- **Marginal relief:** if B is just above ₹12,00,000, your tax cannot exceed the amount by which B crosses ₹12 lakh.
- If either column crosses ₹50 lakh, add the surcharge for that column (10% at the minimum tier) before cess.

Step 3 — the verdict

Old-regime tax (with cess): ₹ _____ New-regime tax (with cess): ₹ _____ → Pick the smaller number. Tell HR NOW if it is the old regime; otherwise do nothing — the new regime is the default.

Reading your answer

If the two columns land within about ₹10,000 of each other, prefer the NEW regime: it needs no proofs, no rent receipts, no March-end ELSS scramble, and no risk of a notice for an overstated claim. The old regime only makes sense when it clearly wins — typically when HRA plus a home loan plus a full 80C stack up. Re-run this worksheet every April: the answer changes as your salary, rent and loans change.

Warning: many maps online are wrong

Articles published between August 2025 and March 2026 used the numbering of the original Bill, which the Finance Act, 2026 amended before the law took effect. That is why you will see 80C mapped to “Section 150” on some big-name sites. The correct number is 123. This table uses the post-amendment text only.

Deductions — Chapter VIII of the new Act (Sections 122-154):

You knew it as	Now it is	What it is / the limit (unchanged)
Section 80C / 80CCC / 80CCD(1)	Section 123	PPF, ELSS, LIC, EPF, tuition fees, principal repayment — ₹1.5 lakh combined cap, old regime only
Section 80CCD(1B)	Section 124	Extra ₹50,000 self NPS contribution, old regime only
Section 80CCD(2)	Section 124	Employer NPS — up to 14% of salary, allowed in BOTH regimes
Section 80D	Section 126	Health insurance — ₹25,000 self (₹50,000 if any member is a senior citizen)
Section 80DD / 80DDB	Sections 127 / 128	Disabled dependant care / specified medical treatment
Section 80E	Section 129	Education-loan interest — no upper limit, old regime only
Section 80G	Section 133	Donations with 50%/100% deduction
Section 80GG	Section 134	Rent paid when you get no HRA
Section 80TTA / 80TTB	Section 153	Savings-account interest ₹10,000 (₹50,000 for senior citizens, including FD interest)
Section 80U	Section 154	Self disability deduction
Section 87A (rebate)	Section 156	The ₹60,000 / ₹12-lakh new-regime rebate — the zero-tax engine
Section 89 relief	Section 157	Arrears / salary-in-advance relief (the old Form 10E process)

Income, exemptions and salary:

You knew it as	Now it is	Notes
Sections 15-17 (salary)	Sections 15-19	Section 19 now carries salary deductions — including the standard deduction
Section 16(ia) — standard deduction	Section 19	₹75,000 new regime / ₹50,000 old regime
Section 10 — exemptions (HRA 10(13A), LTA 10(5), gratuity, leave encashment, 10(10D)...))	Section 11 + Schedules II-VII	Same exemptions, relocated into schedules; HRA/LTA still old-regime only
Sections 22-27 (house property)	Sections 20-26	Annual value now Section 21; deductions now Section 22
Section 24(b) — home-loan interest	Section 22	₹2 lakh on self-occupied (old regime only); unlimited on let-out (both regimes)
Sections 44AD / 44ADA / 44AE	Section 58	Presumptive taxation for side businesses and freelancing, now in one table
Section 115BAC — new regime	Section 202	Still the default regime
Section 139 — return of income	Section 263	Due date 31 July for salary ITRs
Section 234F — late-filing fee	Section 428	₹5,000 (₹1,000 if income up to ₹5 lakh)
Section 192 — TDS on salary	Section 392	What your payslip will quote from April 2026
Sections 194C/194J/194-IA and 50+ others	Section 393	All non-salary TDS in one section, three tables, four-digit payment codes (1001-1092)
Section 206C — TCS	Section 394	All tax collected at source

Capital gains quick reference (rates unchanged; for investors):

You knew it as	Now it is
Section 111A (STCG on listed equity, 20%)	Sections 196-198
Section 112 (other LTCG, 12.5%)	Section 199
Section 112A (LTCG on listed equity, 12.5% above ₹1.25L)	Section 200

How to use the new numbers without memorising them:

- Your payslip from April 2026 may cite Section 392 instead of 192 for TDS — that is correct, not an error.
- Investment declarations to HR will gradually cite Section 123 (80C) and Section 126 (80D). The HR form may keep the old labels for familiarity; both refer to the same things.
- For your July 2026 filing (AY 2026-27) keep quoting the OLD numbers — the return runs on the 1961 Act.
- From your July 2027 filing, use the new numbers. The e-filing portal will guide you: it shows AY 2026-27 returns with old forms and Tax Year 2026-27 with new forms.

Old form	New form	What it is
Form 16	Form 130	Annual salary TDS certificate from your employer
Form 16A	Form 131	TDS certificate for non-salary payments (bank FD interest above the threshold, rent, professional fees)
Form 15G / 15H	Form 121	Declaration to receive interest without TDS when your income is below the taxable limit
Form 13	Form 128	Application for a lower/nil TDS certificate
Form 24Q	Form 138	Quarterly salary TDS return (your employer files this)
Form 26Q	Form 140	Quarterly non-salary TDS return
Form 26AS	Form 168	The annual tax passbook / AIS credit statement you check before filing

Source: Income Tax Department's notified form matrix under the Income-tax Rules, 2026.

Timing — the part that confuses everyone:

- The Form 16 your employer gave you in June 2026 (for FY 2025-26) is still called Form 16 — it belongs to the old Act. Do not panic when it shows old sections.
- The first Form 130 arrives by 15 June 2027, for Tax Year 2026-27, quoting Section 392 and the new section numbers.
- Your bank statements and the portal's Form 168 (old 26AS) continue as the pre-filing reconciliation tool — same job, new number.

Form 121 — the biggest practical change for retirees and low-income earners

15G and 15H — the forms that stop banks deducting TDS on FD interest — merged into a single Form 121 with no age distinction. If your total income for Tax Year 2026-27 is below the taxable limit (remember: zero tax up to ₹12 lakh taxable income in the new regime), submit Form 121 at every bank or post office where you hold FDs — ideally in April, before the first interest credit of the year. A late submission cannot claw back TDS already deducted (you would claim it as refund in the ITR instead). Existing PANs continue unchanged; only brand-new PAN applications filed after 1 April 2026 use the new application forms.

What your employer is dealing with (so you know why payslip labels change): all non-salary TDS now quotes a Section 393 sub-clause plus a four-digit payment code; salary TDS sits in Section 392. For you as an employee, the rate and your take-home are unchanged.

What you see on the slip	What it means now	What to do
TDS line cites “S. 392” instead of “S. 192”	Same salary TDS, quoted under the new Act	Nothing — this is correct from April 2026
Standard deduction of ₹75,000 (spread monthly as ₹6,250)	Section 19 — automatic in the new regime	Nothing; verify it is not ₹50,000 if you are on new regime
Investment declaration form asks for “S. 123” proofs	The 80C proof cycle — same documents, new label	Submit PPF/ELSS/LIC proofs as usual (old regime only)
Employer NPS line “S. 124”	Employer NPS up to 14% of salary — works in BOTH regimes	Consider restructuring CTC towards employer NPS
EPF deduction unchanged at 12% of basic	Provident fund is untouched by the Act change	Nothing
Professional tax / PT line	State-level levy, unchanged (deduction now via Section 19)	Nothing
No HRA exemption applied	You are on the default new regime	If old regime wins for you (Part 4), tell HR in writing

The one monthly habit worth keeping: compare the TDS deducted on the slip with what your regime choice implies. Under-deduction means a lump sum payable (plus interest) at filing; over-deduction means a refund wait. Form 168 (the old 26AS) at the portal shows the TDS actually deposited against your PAN — check it once a quarter, in January before proofs, and in June before the Form 130 arrives.

If your payslip still shows old labels

Some payroll systems were slower to update their display text. If your October 2026 slip still says “S. 192”, that is cosmetic — what matters is that the deduction math matches your chosen regime. By the Form 130 cycle (June 2027) the new references are mandatory on the certificate.

1. You switched (or are switching) jobs in 2026-27

- Give the new employer the Form 16 (old employer, FY 2025-26) and in-year TDS details, so the new payroll computes TDS on your combined income — otherwise both employers apply the ₹4-lakh nil slab and you land short.
- The regime choice is ultimately made in your ITR, not per employer — if payroll deducted assuming the new regime but the old regime wins, you settle the difference (or claim the refund) in the return.
- Both employers' TDS entries must appear in Form 168 before you file — reconcile them in June 2027.

2. You have salary AND freelance income

- **Business/professional income changes the regime rules:** opting out of the new regime is a binding choice — one switch back to the new regime is allowed in your lifetime (Section 202(4)(a)).
- Small freelancers can still use the presumptive scheme — now Section 58 — declaring 6% or 8% of business turnover, or 50% of professional receipts, as profit, with the same turnover limits as before.
- **The Part 4 worksheet still works:** just add freelance profit as another income line in both columns and treat yourself as a business filer for the regime lock-in rules.

3. You service a home loan

- **Self-occupied house:** interest up to ₹2 lakh is deductible only in the OLD regime — now Section 22 (old 24(b)). In the new regime it is gone entirely.
- **Let-out property:** interest is deductible with no ₹2-lakh cap in BOTH regimes — but under the new regime the resulting house-property loss cannot be set off against your salary.
- Joint borrowers each claim their share of interest and principal (Section 22 / 123) — co-ownership documents decide, not whose account the EMI leaves.

4. Senior citizens in the family (parents, or you)

- 15G/15H is now a single Form 121 — submit it at every bank in April if total income is below the taxable limit.
- The interest deduction stays ₹50,000 including FD interest (Section 153). The widely-forwarded “₹1 lakh” figure is only the TDS threshold for banks — it changes deduction at source, not the deduction you claim.
- Pension is taxed like salary (Sections 15–19); pension arrears relief is Section 157 with the same computation as old Section 89.
- Senior-specific old-regime nil slab (₹3 lakh) exists only in the old regime — the new regime slab table is identical for every age.

Now — September/October 2026

- Lock your regime choice with HR in writing. For TY 2026-27 your employer defaults to the new regime. If the old regime wins for you (big HRA, home loan, full 80C — see Part 3), tell payroll now so monthly TDS matches your plan.
- **If your employer offers NPS:** the employer contribution (Section 124, 14% of salary) is the only big deduction that survives in BOTH regimes — restructure your CTC towards it if you can.
- Check your April–September payslips. References to Section 392 (salary TDS) are correct under the new Act.
- Do nothing about your July 2026 return's old section numbers. AY 2026-27 belongs to the 1961 Act; if you have already filed it, you are done with the old law except for refunds and notices.

December 2026 – January 2027

- Submit old-regime investment proofs to HR (PPF, ELSS, LIC, tuition fees, health insurance). If you are on the new regime, there is nothing to submit — one less chore.
- **Check Form 168 (the new 26AS) and the AIS on the portal:** reconcile TDS actually credited against what your employer says it deducted.

By 15 March 2027

- Last advance tax instalment for TY 2026-27 (100% cumulative). Salaried people whose TDS covers everything usually need no advance tax.
- Last useful week for old-regime investments (ELSS purchases made after 31 March 2027 cannot count for TY 2026-27).

By 31 March 2027

- **Close the tax year:** deductions, NPS contributions, donations (Section 133), home-loan interest certificates.
- Submit Form 121 for the NEXT tax year at banks if your income will be below the taxable limit.

June 2027

- Receive Form 130 — your first new-Act salary certificate (old Form 16). It will quote Section 392 and other new references.

By 31 July 2027 — your first new-Act ITR

- File for Tax Year 2026-27 on the new forms under the Income-tax Act, 2025. The portal selects the right forms once you pick the tax year.
- Salaried with no business income can still pick the old regime inside the return — but only if you file by this date.
- Miss it and Section 428 charges ₹5,000 (₹1,000 if total income is up to ₹5 lakh) — plus you lose the old-regime option for the year.

One habit to build

Every April, when a new tax year starts, re-decide your regime — the math shifts with your salary, rent and loans. Fifteen minutes with Part 3 of this guide each April beats ₹30,000 of avoidable tax.

Myth 1: “Section 80C has been abolished.”

False. 80C is now Section 123, cap still ₹1.5 lakh, still old-regime-only. Nothing about the benefit changed except its address.

Myth 2: “The new slabs tax me differently.”

False. Section 202’s slab table is identical to FY 2025-26’s new-regime slabs. The ₹12.75 lakh zero-tax effect (via the Section 156 rebate) also survives.

Myth 3: “The old regime is gone.”

False. You can opt out of the default new regime under Section 202(4) — every year if you have no business income. What IS new: for people with business income, switching back after opting out is a once-in-a-lifetime move.

Myth 4: “Form 16 has been discontinued.”

False. It is renamed Form 130 and first appears in June 2027 for Tax Year 2026-27. The Form 16 you got in June 2026 was the old form, correctly issued under the old Act.

Myth 5: “Senior citizens now get ₹1 lakh FD interest deduction.”

False, and this one costs money. Section 153 keeps the senior-citizen interest deduction at ₹50,000. The ₹1 lakh figure is the TDS REPORTING threshold for banks (from Budget 2025) — it changes when banks deduct tax at source, not how much you can deduct.

Myth 6: “I must re-file or re-declare something because the law changed.”

False. Section 536 of the new Act carries forward every option, filing and credit. If you filed your July 2026 return, you owe the new Act nothing today.

Myth 7: “The new Act raised penalties massively.”

Mostly false for salaried. The late-filing fee (Section 428) is still ₹5,000 / ₹1,000. The headline ₹75,000–₹1.5 lakh fees apply to tax-audit defaulters — businesses, not salary earners.

1. I filed my return in July 2026. Old Act or new Act?

Old Act. That return was for AY 2026-27 — income earned before 1 April 2026 — so 80C, 80D and 87A were the correct references. The new Act's numbers first appear on the return you file in July 2027.

2. Do I need to memorise the new section numbers?

No. Use old numbers for anything connected to AY 2026-27 and earlier, and let the portal and your Form 130 guide you for Tax Year 2026-27. Keep Part 5 of this guide as your translator.

3. What happens to my pending refund from an earlier year?

It processes normally. Section 536(2) preserves all proceedings for tax years that began before 1 April 2026 — the old law finishes those jobs.

4. I got a notice quoting an unfamiliar section. How do I tell which Act it is from?

Check the heading and the year it concerns. Notices for AY 2026-27 and earlier are issued under the 1961 Act; notices for Tax Year 2026-27 onwards cite the 2025 Act. Reply under whichever Act the notice itself quotes.

5. Can I switch regimes every year?

Yes, if you have no business or professional income — choose in the ITR each year (Section 202(4)(b)). With business income, opting out of the new regime is effectively permanent; you get one switch back, ever.

6. My company pays me HRA. Does it still save tax?

Only in the old regime. HRA exemption moved from Section 10(13A) into the schedules under the new Act, and remains unavailable in the default new regime — same as before.

7. I changed jobs in April 2026. Anything special?

Give the new employer your Form 16 from the old one so TDS is computed on combined income — now with both employers' TDS visible in Form 168. Nothing about the change of law affects this.

8. What is a “payment code” in TDS?

Every non-salary TDS payment now carries a four-digit code (1001–1092) under Section 393. Employers and deductors use it in challans and returns. Employees do not need it.

9. Is the ₹12 lakh rebate available on capital gains too?

No. The Section 156 rebate covers tax at normal slab rates. Special-rate income — like the 12.5% long-term gains on shares — is excluded from the rebate's benefit, exactly as before.

10. What about my carried-forward losses from earlier years?

Section 536 keeps them alive; they carry into Tax Year 2026-27 computations per the transition rules. If you have business losses or depreciation carry-forward, have your CA re-map the references once.

11. Is the Income-tax Department's portal ready for both laws?

Yes. The official FAQ confirms the e-filing portal handles AY 2026-27 returns on old forms and Tax Year 2026-27 compliance on new forms concurrently. Select the year and the portal shows the right forms.

12. My employer deducted TDS on the new regime, but the old regime wins for me — is that TDS wasted?

No. The regime you finally get is the one you choose in the ITR. If payroll deducted assuming the new regime, you pay the balance (or claim the refund) when you file — nothing is lost, you just settle up at filing.

13. Do I need a new PAN or a fresh portal login because of the new Act?

No. Section 536 continues every PAN, TDS credit and past filing. New application forms apply only to brand-new PAN applications filed after 1 April 2026.

14. What happens if I miss the 31 July 2027 deadline?

File a belated return by 31 December 2027 with the Section 428 fee — ₹5,000 (₹1,000 if total income is up to ₹5 lakh) — and remember you also lose the right to pick the old regime for that year.

15. Will my take-home salary change in October 2026 because of the new Act?

No. The Act changed the law's labels, not your tax math. Take-home changes only if your regime choice, salary structure or deductions change. If your TDS moved month-to-month, check which regime payroll applied — not the Act.

16. What if the Finance Act 2027 changes slabs or limits next April?

Slabs and limits live in the Finance Act of each year — the 2025 Act is the framework, not the rates. Re-check the numbers in Part 3 every April (they were unchanged for TY 2026-27); the section map in Part 5 and the forms in Part 6 are stable.

Term	What it means
Tax Year	The new single label for the 1 April – 31 March period in which you earn income; replaces Previous Year and Assessment Year
TDS	Tax Deducted at Source — tax cut by the payer (employer, bank) before money reaches you; salary TDS is Section 392
TCS	Tax Collected at Source — tax collected by a seller (Section 394), e.g. on foreign remittances above the limit
Rebate	A subtraction from your tax (not income) — Section 156 wipes up to ₹60,000 in the new regime below ₹12 lakh
Cess	The 4% health and education cess added on top of your computed tax
Surcharge	An extra percentage of tax above ₹50 lakh of income (10% at the lowest tier, with marginal relief)
Marginal relief	The rule that stops you paying more tax than the extra rupees you earned just above a threshold
Standard deduction	The flat ₹75,000 (new regime) / ₹50,000 (old) cut from salary — Section 19, no proofs needed
Presumptive taxation	Declaring a fixed share of turnover as profit instead of books — Section 58 for small businesses and freelancers
Form 168 (old 26AS)	The portal's tax passbook showing TDS credited against your PAN — check it before every filing
Regime	Your choice of tax computation: the default new regime (Section 202) or the deduction-rich old regime
Schedule	A table attached to the Act — the old Section 10 exemptions now live in Schedules II–VII

The number you need	It is
Zero tax on salary (new regime) up to	₹12,75,000 gross (₹12L taxable + ₹75k standard deduction)
New-regime slabs (Section 202)	Nil to ₹4L · 5% to ₹8L · 10% to ₹12L · 15% to ₹16L · 20% to ₹20L · 25% to ₹24L · 30% above
Rebate (Section 156)	₹60,000 max, new regime ≤ ₹12L income · ₹12,500 max, old regime ≤ ₹5L
Standard deduction (Section 19)	₹75,000 new regime · ₹50,000 old regime
80C limit (now Section 123)	₹1,50,000 — old regime only
Health insurance (now Section 126)	₹25,000 (₹50,000 with a senior-citizen member) — old regime only
Employer NPS (Section 124)	Up to 14% of salary — allowed in BOTH regimes
Home-loan interest, self-occupied (Section 22)	₹2,00,000 — old regime only
Salary ITR due date (Section 263)	31 July 2027 for Tax Year 2026-27
Late-filing fee (Section 428)	₹5,000 (₹1,000 if income ≤ ₹5 lakh)
Translate on sight	
80C→123 · 80D→126 · 80E→129 · 80G→133 · 80TTA/80TTB→153 · 87A→156 · 89→157 · 115BAC→202 · 139→263 · 234F→428 · 192→392 · 194-series→393 · 206C→394 · 16→130 · 15G/15H→121 · 16A→131 · 26AS→168 · 24Q→138 · 26Q→140	
The three dates that matter	
Now: tell HR your regime choice for TY 2026-27 — old regime must be opted in, new regime is automatic. 15 March 2027: last advance-tax instalment and last week for old-regime investments. 31 July 2027: file the first new-Act return (Tax Year 2026-27) — new forms, new sections, same portal.	

This guide was researched and verified in September 2026 against primary sources:

- The Income-tax Act, 2025 (No. 30 of 2025) — consolidated text as amended by the Finance Act, 2026, including Sections 19, 22, 123, 124, 126, 129, 133, 153, 156, 157, 202, 263, 392-394, 428 and 536.
- The Income-tax Rules, 2026 (G.S.R. 198(E), notified 20 March 2026) and the Income Tax Department's notified form matrix (Forms 121, 128, 130, 131, 138, 140 and 168).
- The Income Tax Department's official FAQs on the new Act and on the April 2026 transition, including the section-by-section mapping and the dual-law portal guidance.
- The Department's official Tax Year 2026-27 slab page and tax calculator, used to verify every rate, rebate and worked example in Part 3.
- Cross-checked against mapping write-ups from major Indian tax publications; where they disagreed with the Act, the Act won.

This guide at a glance	
Section mappings verified line by line against the Act	30+
Forms renumbered and confirmed from the notified Rules	9
Worked rupee examples computed and checked	8
Myths debunked directly from the Act text	7
Research cut-off	29 September 2026

Disclaimer: This guide is plain-English education, not tax advice. Rules, forms and thresholds change through the year via circulars and notifications — verify anything that decides money on the official portal (incometax.gov.in) or with a chartered accountant before acting. Digitalaikart is not liable for decisions taken on the basis of this guide.

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